

28 Aug 2026 10:53:15 ET | 10 pages

Unimicron (3037.TW)

Investigation announced into alleged origin product mislabelling concerns

CITI'S TAKE

Post market close on Aug 28th, Unimicron posted an announcement that it's under investigation by the Taoyuan District Prosecutors Office ([Yahoo News](#), 28th August). Per the announcement, the relevant Unimicron personnel are co-operating with the Office investigation, with more details to be provided at a later stage. As per our check with the company, the investigation relates to alleged mislabelling of the origin of products (i.e. labelling products 'Made in China' as 'Made in Taiwan'). Although the news report cited concerns over origin labelling, there are currently no regulations or US government bans on substrate/PCB products imported from China as far as we know. Besides, we believe origin of products is based on customers' preference without being subject to any regulatory requirements currently.

With the Presidents of the US and China scheduled to meet in September, the geopolitical backdrop for Unimicron is likely to remain a key focus for investors. Even if there are geopolitical implications from the meeting or the investigation announced today, we believe Unimicron has sufficient substrate/HDI capacity across Taiwan/China/Thailand to diversify any potential impact. We think the share price could thus react negatively on today's announcement, but we would view any negative reaction as an enhanced buying opportunity. Maintain Buy.

Buy

Price (28 Aug 26 13:30)	NT\$1,110.00
Target price	NT\$1,500.00
Expected share price return	35.1%
Expected dividend yield	0.9%
Expected total return	36.0%
Market Cap	NT\$1,763,649M US\$55,653M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Unimicron

Valuation

Our target price for Unimicron is NT\$1,500. We use a 1-year forward-looking DCF-based valuation (ie, end-2027) to reflect Unimicron's ability to generate stable cash. With a risk-free rate of 4.3% (10-year government bond rate), a market risk premium of 7%, and an equity beta of 1.43 (2-year weekly share price), we calculate Unimicron's WACC as 13.7%. Our target price is equivalent to 66x/31x 2026/27E EPS, which is higher than the +1std level of consensus PE multiple of the past five years. However, as the market focuses on 2027 upcycle, we believe valuation on 2027E EPS is still in line with historical peak valuations of 25–30x during the last upcycles.

Risks

Key downside risks that could mean Unimicron shares trade below our target price include: 1) weaker-than-expected HDI business; 2) significant increase in ABF supply in the industry; and 3) stronger-than-expected margin pressure from depreciation due to higher capex investments.

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Appendix A-1

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Unimicron (3037.TW)

Ratings and Target Price History Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	23-Oct-23 14:57:39	1	*207.85	156.88
2	26-Feb-24 10:21:09	1	*247.44	194.00
3	31-Jul-24 10:50:03	1	*237.55	177.67
4	29-Oct-24 13:16:03	1	*217.75	161.83

	Date	Rating	Target Price	Closing Price
5	26-Feb-25 11:29:28	1	*173.21	124.22
6	22-Apr-25 12:10:54	1	*98.98	80.17
7	30-Jul-25 10:26:52	1	*163.31	140.55
8	30-Oct-25 03:44:03	1	*217.75	158.36

	Date	Rating	Target Price	Closing Price
9	20-Jan-26 10:55:31	1	*400.00	308.00
10	28-Apr-26 12:07:06	1	*1,080.00	825.00
11	30-Jun-26 10:10:46	1	*1,500.00	1,070.00

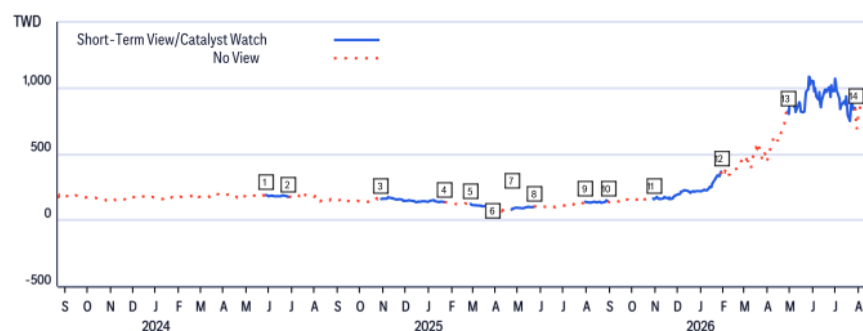
*Indicates Change

Rating/target price changes above reflect Eastern Time

Unimicron (3037.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	27-May-24 20:58:42	Add CW	Upside	30 Days	190.04
2	27-Jun-24 11:34:52	Remove CW	Upside	30 Days	176.68
3	29-Oct-24 09:16:03	Add STV	Upside	90 Days	161.83
4	27-Jan-25 19:44:16	Remove STV	Upside	90 Days	137.58
5	26-Feb-25 06:29:28	Add STV	Downside	30 Days	124.22

	Date	Action	Expected Direction	Duration	Closing Price
6	28-Mar-25 14:14:28	Remove STV	Downside	30 Days	97.99
7	22-Apr-25 08:10:54	Add STV	Upside	30 Days	80.17
8	22-May-25 21:41:10	Remove STV	Upside	30 Days	100.96
9	30-Jul-25 06:26:52	Add STV	Upside	30 Days	140.55
10	29-Aug-25 14:17:02	Remove STV	Upside	30 Days	143.02

	Date	Action	Expected Direction	Duration	Closing Price
11	29-Oct-25 23:44:03	Add CW	Upside	90 Days	164.30
12	28-Jan-26 19:41:51	Remove CW	Upside	90 Days	367.50
13	28-Apr-26 08:07:06	Add CW	Upside	90 Days	825.00
14	27-Jul-26 21:35:45	Remove CW	Upside	90 Days	848.00

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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